



## PRIVATE AND CONFIDENTIAL

9<sup>th</sup> April 2008

### The Children's Investment (TCI) Master Fund – Q1 2008 Report

#### 1. Fund Performance

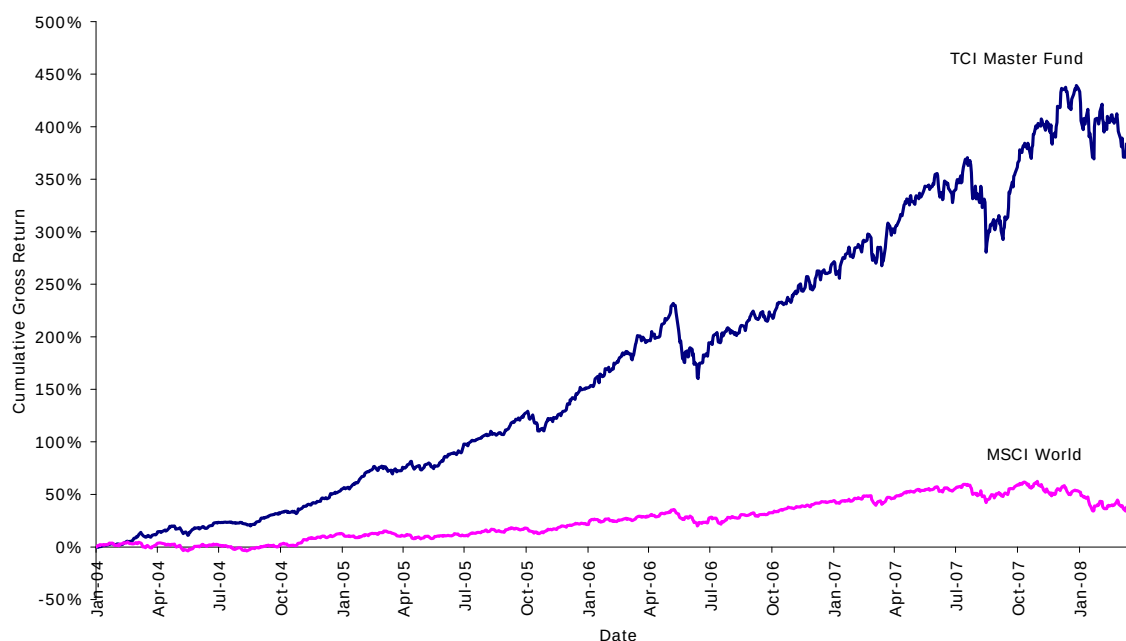
Returns for this period, net of both management and accrued incentive fees for the fund, are shown in the table below:

| Period             | Master Fund Assets (£m) | Class A (3yr) \$ | Class A (3yr) € | Class C (5yr) \$ | Class C (5yr) € | MSCI World (\$) |
|--------------------|-------------------------|------------------|-----------------|------------------|-----------------|-----------------|
| Mar 2008           | 10,187                  | -1.05%           | -0.83%          | -1.05%           | -0.83%          | -1.25%          |
| Feb 2008           | 10,714                  | -2.70%           | -2.56%          | -2.70%           | -2.56%          | -0.74%          |
| Jan 2008           | 11,239                  | -6.24%           | -6.38%          | -6.24%           | -6.38%          | -7.71%          |
| Q1 2008            |                         | -9.73%           | -9.54%          | -9.73%           | -9.54%          | -9.53%          |
| 2007               |                         | +37.59%          | +35.66%         | +37.59%          | +35.66%         | +7.09%          |
| Annualised         |                         | +35.76%          | +34.94%         | n/a              | n/a             | +8.00%          |
| Inception Jan 2004 |                         | +266.72%         | +257.40%        | n/a              | n/a             | +38.70%         |

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception.

Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI Barra, The Children's Investment (TCI) Fund Management (UK) LLP.

TCI Master Fund vs MSCI World (\$) Since Inception



Notes: Performance for TCI Master Fund is gross of management and incentive fees and includes dividends reinvested.

Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI Barra, The Children's Investment (TCI) Fund Management (UK) LLP.

The fund ended the quarter down circa 10% net of fees, in line with MSCI World.

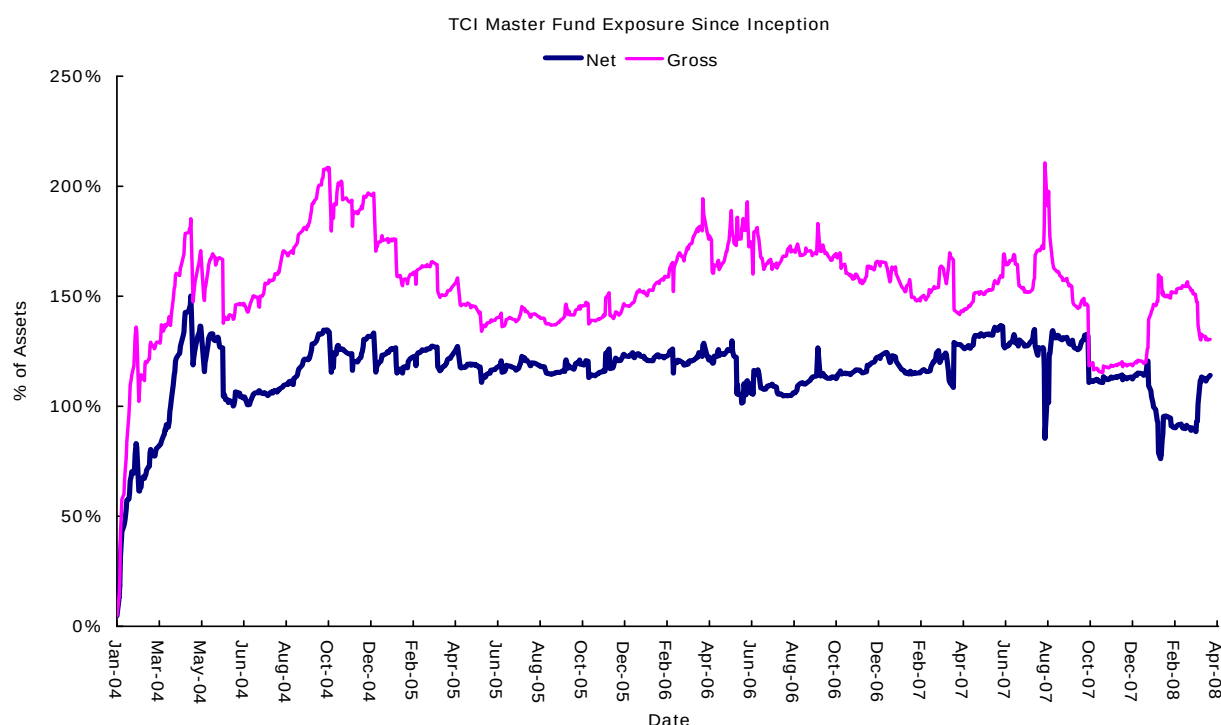
## 2. Key Fund Data

### a. Exposure Summary

| % of Master Fund Net Assets |       |        |       |      |
|-----------------------------|-------|--------|-------|------|
| Period                      | Longs | Shorts | Gross | Net  |
| End Mar 2008                | 122%  | -10%   | 132%  | 113% |
| End Feb 2008                | 123%  | -34%   | 156%  | 89%  |
| End Jan 2008                | 123%  | -28%   | 151%  | 95%  |
| End Dec 2007                | 117%  | -3%    | 120%  | 114% |

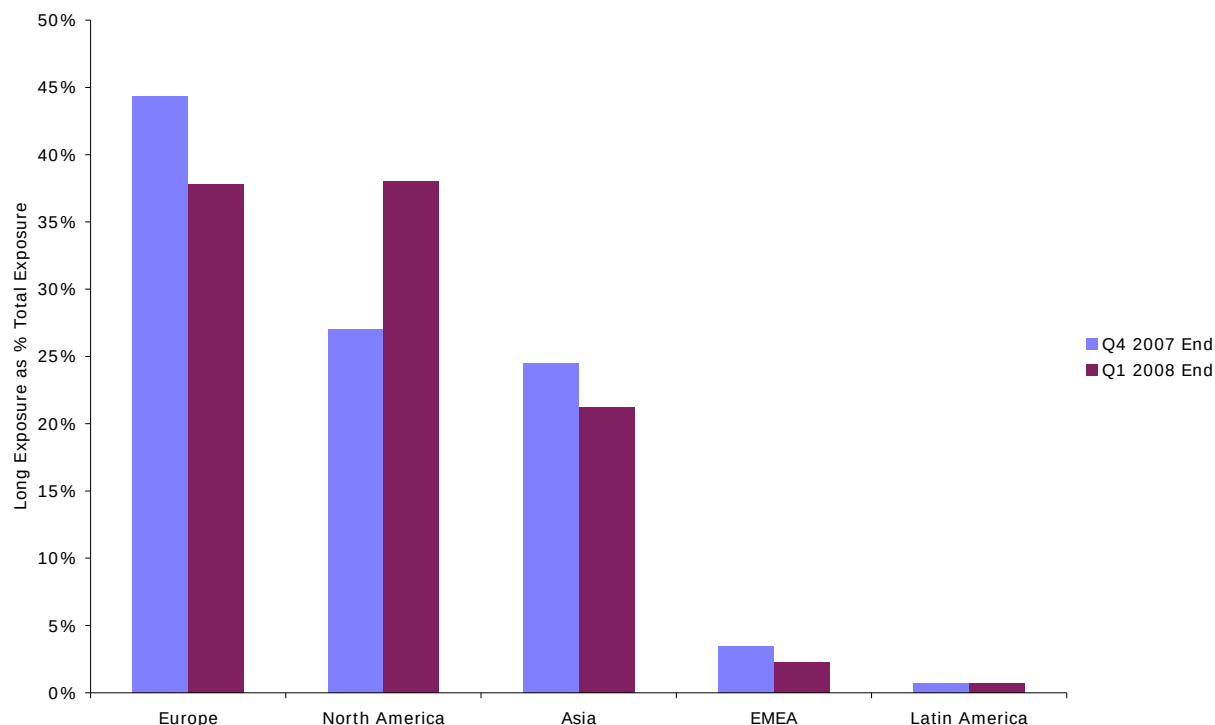
Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

The fund's current exposures are long 114%, short 4% and net long 110%.



Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

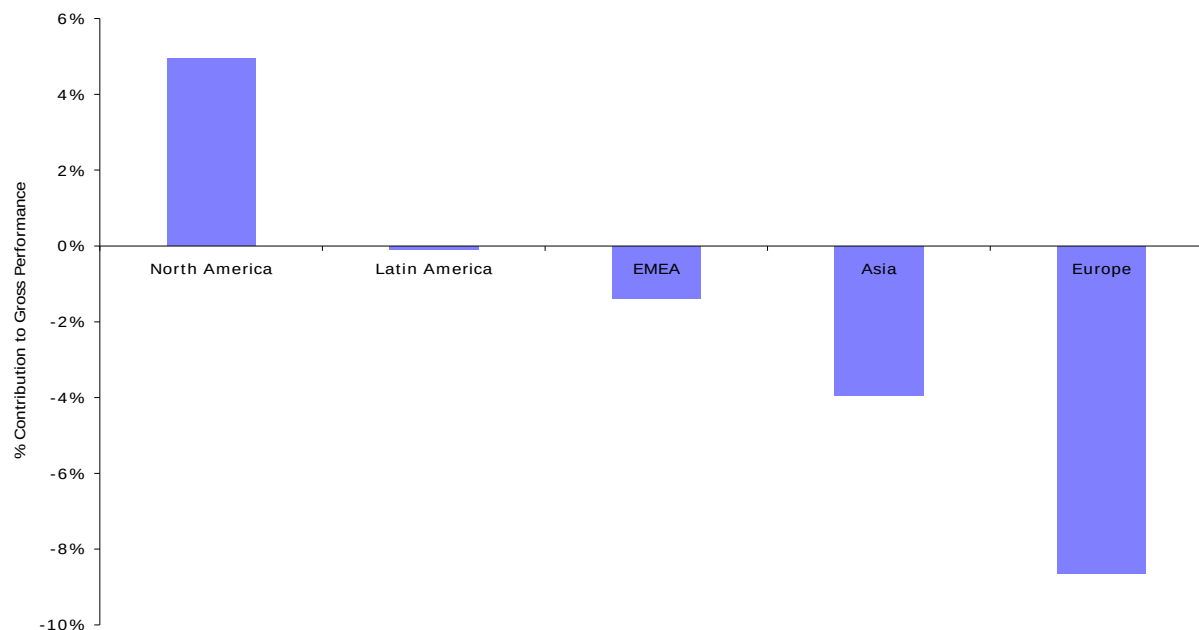
During Q1 2008, the fund's net exposure went to its lowest levels since the initial deployment of capital in 2004 whilst still remaining fully invested.

**b. Q1 2008 vs. Q4 2007 Portfolio Geographical Exposure**

Notes: Figures calculated are re-based to a total of 100 and are based on the long book only. EMEA = Emerging Europe, the Middle East and Africa.

Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

The fund is currently equally weighted to Europe and North America. During the first quarter of 2008, the weightings to Europe, Asia and EMEA declined with a growth in the exposure to North America.

**c. Q1 2008 Performance Contribution by Geography**

Notes: EMEA = Emerging Europe, the Middle East and Africa.

Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

During Q1, North America was the only positive contributor to performance by region. Europe was the largest detractor.

#### d. Q1 2008 Performance Contribution by Position

| Position                  | % Contribution to Gross Performance | % of Total Q1 Trading Gains / Losses |
|---------------------------|-------------------------------------|--------------------------------------|
| <b>Major Contributors</b> |                                     |                                      |
| US Railways               | +4.5%                               | +49%                                 |
| Short Book                | +2.8%                               | +31%                                 |
| Unnamed Service Companies | +1.6%                               | +17%                                 |
| <b>Major Detractors</b>   |                                     |                                      |
| Deutsche Boerse           | -7.1%                               | -78%                                 |
| Indian Banks              | -2.9%                               | -32%                                 |
| US Aggregates             | -1.1%                               | -12%                                 |

Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

### 3. Portfolio Review for Q1 2008

#### CSX

CSX's fourth quarter results were consistent with prior quarters: strong pricing, up 6.7% year-on-year, in spite of continued weak volumes, down 3%. CSX also repurchased 3% of its stock in the quarter and showed some signs of focus on productivity improvement. The net result was that for the full year in 2007, CSX comparable EPS increased 22% year-on-year, despite a 3% decline in volumes.

We expect volumes in 2008 to show continued weakness due to a soft US economy although our thesis is that pricing will remain firm and opportunities for further productivity gains remain.

In March, the Company announced materially higher long-term guidance, increased its share repurchase program and raised its dividend. CSX is now targeting annual EPS growth before the impact of share repurchases of 18-21% through 2010 (previously 15-17% *after* share repurchases). The Board increased the size of the share repurchase program by \$2.4 billion; it now represents 13% of the Company's market capitalisation and will be completed before the end of 2009. We believe the pressure applied by TCI is responsible for these recent actions.

On the same day, CSX postponed its 2008 annual meeting and record date and filed a lawsuit against TCI and 3G Capital Partners alleging violations of federal securities laws. In response to this claim we issued the following statement: "It is unfortunate that CSX has chosen to manipulate the governance and Board election process by delaying the annual meeting and filing baseless claims. These allegations are wholly without merit and we will defend ourselves vigorously."

In April, TCI filed counterclaims against CSX and a third-party claim against its Chairman, Chief Executive Officer and President, Michael Ward, in the United States District Court – Southern District of New York, for violations of the federal securities laws and Virginia state law. Our claims against CSX and Mr. Ward allege that CSX failed to disclose, among other things, (i) that CSX awarded stock to its board and senior executives while in possession of material non-public information, (ii) the manner in which CSX's proposed bylaws would limit shareholders' right to call special meetings, and (iii) CSX's true intentions for commencing its litigation against TCI.

As we state in our counterclaims, "The lawsuit filed by CSX Corporation is the latest step in a long series of scorched earth tactical maneuvers by its Board of Directors and CEO Michael

Ward aimed at preventing, at any cost, CSX's owners from even considering proposals that would strengthen CSX's corporate governance procedures and provide CSX shareholders with a long overdue, meaningful voice in shaping the company's future direction. Indeed, the directors of CSX have gone to extraordinary lengths to entrench themselves in their current positions, including withholding from shareholders material facts regarding the Board's violation of its own insider trading policies, code of ethics and bylaws, while at the same time enriching themselves by setting certain "spring-loaded" stock grants for CSX insiders while in possession of material nonpublic information."

The stock is up approximately 28% YTD.

#### ❑ Union Pacific

The highlight of Union Pacific's fourth quarter results was the Company's strong focus on productivity and cost control. Pricing continued to be strong (+5-6% year-on-year), but management also succeeded in reducing costs 2% year-on-year despite flat volumes. Overall EPS only increased 4% due to abnormally harsh weather conditions and a lag-effect in recovering the exceptionally high fuel costs incurred during the quarter.

For the full year in 2007, Union Pacific increased EPS by 17% year-on-year in spite of a 1% decline in volumes. The Company's cost discipline was the best of all major North American railroads: operating costs per carload increased only 1% year-on-year versus 5% at CSX and 6% at Burlington Northern Sante Fe, its peer in the western US.

As discussed in the CSX summary, continued weakness in the US economy will be a near-term headwind for the US railroads. However, we believe that re-pricing of legacy contracts and continued productivity gains will allow Union Pacific to improve earnings significantly over the long term despite economic softness.

#### ❑ J-Power

We have been stepping up our efforts to realise the intrinsic value of the company. In January, we applied to the Japanese government to increase our stake from 9.9% to 20% which is required under Japanese Foreign Exchange Law.

In February, we wrote an open letter to the company asking them to introduce independent directors to monitor management decision making. In March, we followed up with submitting a 100-page plus detailed Business Plan demonstrating areas of focus for the company to improve corporate governance and value.

At the same time, we significantly intensified our presence in local print and broadcast media to ensure our positive mindset, purpose and reputation are properly represented, with the message that our efforts are for the best interest of Japanese people and companies. This has led to a number of notable commentators and newspapers becoming openly supportive of our quest to increase shareholder value. We have plans to continue our persistent push on this front.

The issue for this investment continues to be seeking a way for some of the massive cash flow generation of the company to be returned to shareholders rather than be predominately invested in value neutral investments. The fact that foreign ownership is still at 40% leaves some potential that management will feel pressure to raise dividends by some amount in the next two months.

Our recent conference call with the CEO left no doubt as to the divergence in views on how the company should be run which we have with top management. At the end of the day the board need to be re-elected at the AGM and we believe that there remains structural pressure on the management from the foreign shareholder base.

#### □ Deutsche Boerse

Deutsche Boerse had a very strong operating performance in the first quarter of the year. Eurex volumes have been on average 26% above the same period last year and 21% above the average of 2007. In addition the mix of volume is more geared to futures contracts (mainly equity contracts) which attract a higher margin for the group. ISE volumes are also benefiting from the increase in volatility, achieving an amazing 50% growth in average daily volume in Q1 2008 over Q1 2007. For Q1, transaction volume in Xetra was up over 50%.

Clearstream continues to grow nicely in custody with 6% growth in assets under custody versus last year. Its new initiative with Eurex, Global Cash management (a collateral management business), is growing very strongly at above 30% and now accounts for close to 30% of Clearstream revenues. The settlement activities have been mixed with two strong months in January and March and a weak February.

In January, Deutsche Boerse announced an unexpected reduction of its tax rate from 32% to 25% within 3 years as the company moved half of its employees outside Frankfurt. This is further evidence of the strong alignment we believe management and shareholders now have.

In spite of this solid operating performance, Deutsche Boerse shares have been seriously de-rated during the quarter falling 25%. Several factors can explain this poor performance. First the shares have been penalised by the poor performance of the German market which fell around 20% during the quarter. Second, there has been profit taking after a very strong performance during 2007 when the shares doubled. In addition, CME shares (one of its closest comparable companies) de-rated after the department of Justice sent a letter asking the US treasury to look into the vertically integrated structure of the industry and the Treasury suggested to merge the CFTC and the SEC in a published blueprint. Our due diligence with various industry players and regulators lead us to believe that the chances of a change in CME regulatory framework are remote.

#### □ Indian Banks

Indian banks in last quarter have been a tale of two stories. At the company level, all banks have reported very strong and better than expected earnings for the last quarter (ranging from EPS growth of 25% to 70% year-on-year). The main features have been improving net interest margins (the benefit of the hikes in loan rates), continuous improvement in asset quality (NPLs formation dropped from 3.7% 2002 to 1.5% in 2007) and robust credit growth (25% on average).

At the political level, the performance of PSU banks has been affected by the government initiative to cancel the non performing loans for the small farmers for a total amount of 600bn Rupees. PSU banks account for around 25% of the loans. After a period of uncertainty, the Minister of Finance has announced that all banks will be fully compensated in cash for the gross value of the loan (we estimate that more than a third of these loans are currently non performing). Banks will therefore write back the provisions they had made. By the completion of the programme in three years, the PSU banks will see around 14% increase in their book value.

Even if the Indian government has never displayed any signs of abusing minority investors, the government intervention has increased the perceived risk and the risk of moral hazard on lending. Some large brokers have downgraded the sector on the back of an increase risk premium and rising provisions on their agriculture business.

The second factor which has affected the Indian banks is the change of market expectation regarding interest rates. The market was betting on a cut in interest rates at the start of the year, given the low level of inflation in India and the risk of a slowdown in the economy driven by the slowdown in the US. In February, banks have cut their prime lending rate from 13.3% to 12.8% in anticipation of lower funding costs. After bottoming at 3.4%, inflation has rebounded strongly to reach 7% last week. The increase in inflation has been driven by increase in metal and food prices. This uncertainty on monetary policy has created some fears that Indian banks margins could be affected by an increase in the Indian central banks bank reserve requirements – cash held with no interest with the central bank (CRR).

Although it is not possible to call the course of Indian monetary policy, we do not share the market concerns on margins in the medium term. The managements of all PSU banks have been very focused on margins for several years. If the central bank increases its cash balance with the banks, it is very likely that banks will lower the deposits costs (a lot of high cost term deposits contracted last year are due for renewal in this year) and slow their volume growth to protect their margins. The managements of Union Bank and PNB have already publicly stated that they will focus on margins over volume in 2008. Within one or two quarters, banks will have the possibility to compensate for some margin loss. In addition, the liquidity is very abundant in India this year with deposits growing in line or above loans, so banks will be able to grow their low cost deposits, avoiding raising expensive term deposits.

A potential slowdown of volume growth from 25% to 20% is in line with our expectations and will bring banks to a more sustainable level of growth. Given their current RoE of around 20%, Indian banks are not able to sustain a growth rate above 20% without raising fresh equity. In addition, banks can increase their deposits in line with loans, allowing them to increase their margins.

After the recent substantial market sell off in India, PSU banks trade between 5x and 7x March 2009 earnings and 0.9x to 1.3x P/BV (OBC being at the low end and SBI at the high end of the range). The sector will continue to display around 20-30% underlying EPS growth for the foreseeable future with RoE stabilising around 20%.

#### □ European Bank Investments

Our current investments in European banks comprise approximately 5% long and 1% short. The core positions are Intesa-SanPaolo, Credit Suisse and Garanti Bank in Turkey. Overall this quarter our losses in banks were limited by hedges that we initiated early in the year. It is our view that wholesale funded banks will have margins squeezed but fully deposit funded banks like Intesa will have strong margin expansion and volume growth due to weakened competitors.

#### 4. Outlook for 2008

The portfolio was impacted negatively by the broad based falls in equity markets around the world and moved down in line with equity markets. We have often made it clear to investors that we are always exposed to significant market risk due to our long biased strategy and hope to offset any negative beta over time with significant alpha generation.

The causes of the market falls (credit crisis in US and Europe and US recession) are well documented. The fund, in anticipation of market falls, executed some material equity index and stock specific shorts in Asia and the US which we subsequently covered generating gains of around 3% of the fund NAV. Our major mistake on this was not executing any material short exposure in Europe which fell more violently than the US. At their worst European markets were down 20%. The continual strengthening of the Euro helped contribute to this.

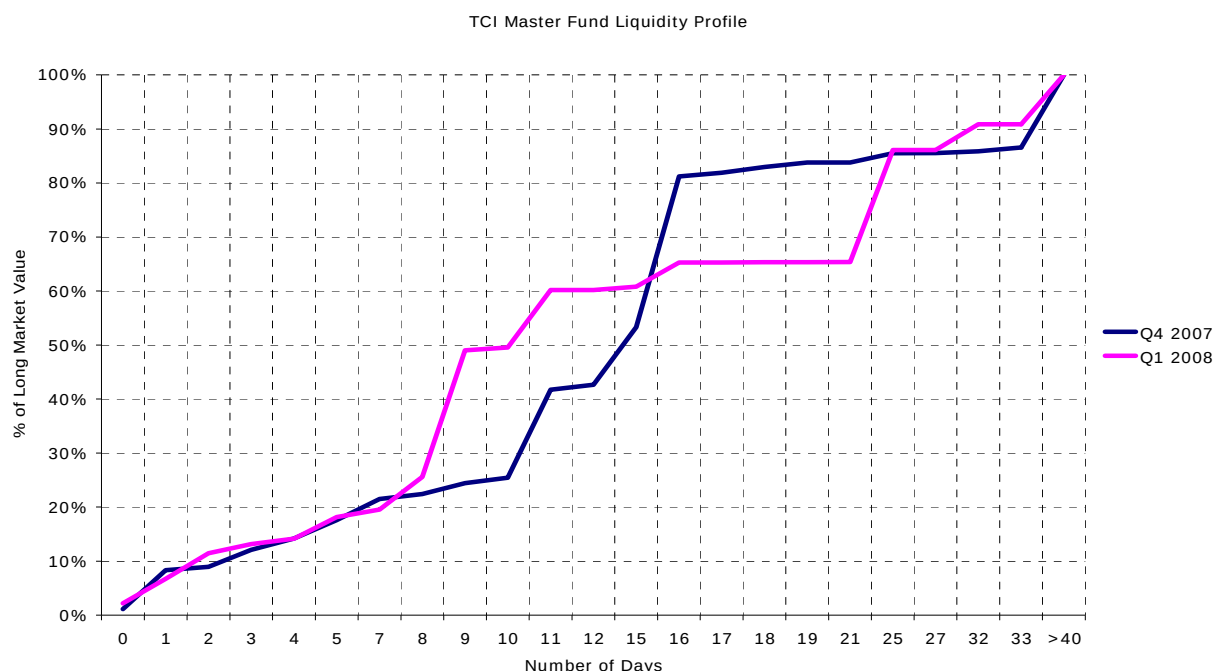
Our view is that the portfolio is cheap today and full of very high quality dominant businesses with potential to compound at 15% long-term. This belief resulted in CIFF investing a further \$400m into the fund on April 1.

Cash levels are high and interest rates low. Credit Suisse estimates that total money market funds divided by the S&P 500 Market Cap equals 28% today. The last time this ratio was this high was July 1982 and February 2003 two of the best buying opportunities in market history.

There is no doubt that the US and Europe economies will be challenged by deleveraging of consumers and financial services companies and economic growth will be subdued in these regions. Emerging market economic growth we believe will remain strong. It is entirely possible that the current rally that the market is enjoying in April fails and we retest market lows.

Our approach is to remain committed to the long term fully invested strategy that we have adopted since the beginning of the fund. Corporate values are driven by a 20 year not 2 year horizon and we are willing to take equity market volatility in return for long-term capital appreciation.

## 5. Liquidity Analysis



Notes: Liquidity is based on the average three-month trading volume data from Bloomberg assuming 100% of trading. Analysis is based upon long positions only.

Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.



## **6. Counterparty Risk**

We have been very focused, for the last year, on reducing the fund's counterparty risk due to our long standing concerns with the credit of broker dealers. As per the supplement to the offering memoranda circulated to all investors in December 2007, the fund has entered into a custody agreement with HSBC which gives us full ownership of securities custodied there with the full right of return of these securities. HSBC also guarantees performance of any sub-custodians used. Today the majority of our fund assets are custodied with HSBC under this agreement.

The remaining equity securities are nearly all held in segregated accounts in the fund's name with a variety of major broker dealers. Re-hypothecation (securities lending) is only permitted to the level of indebtedness to our prime brokers. We regularly monitor compliance of the broker dealers with the segregation account status. Nearly all cash of the fund is held today within commercial banks.

Except under exceptional circumstances we do not use pooled accounts and today have under \$1m held in pooled accounts – the standard form in which hedge funds hold assets with prime brokers.

As a result, absent fraud of counterparties, we feel comfortable that we have strongly protected the fund against failure of one or all broker dealers with whom we do business.

## **7. Investor Days**

The 2008 TCI and TCI Affiliates Investor Days will be held at The Waldorf Astoria in New York. The dates will be June 16th for TCI Affiliates and June 17th for TCI. Invitations and registration details have been sent.

## **8. The Firm**

### **❑ Investment Management**

During Q1 2008 two new analysts joined the TCI investment team to add further depth to our work. An additional analyst will join in May.

Robb LeMasters – who will work with Snehal Amin and Rishi Sunak on the Americas – joins us with a wealth of investment experience from Highbridge, Forstmann and Morgan Stanley. Robb has an MBA from Harvard and a BSc from The Wharton School. At Highbridge he worked on US long-short equity investing.

John Sheridan joins as a financials analyst and will work with Patrick Degorce. John was previously at Deutsche Bank and HSBC. He is a law graduate from The London School of Economics and a CFA holder. John covered UK banks for Deutsche Bank for 6 years.

Glenn Taylor will join TCI in May and will work with Patrick Degorce as a generalist. He previously worked at Cycladic.

### **❑ Business Management**

Jim Wilk joined TCI as our new Head of Operations in March. Jim comes with a long career as Head of Operations. His experience includes time at Carlyle Blue Wave, DB Zwirn, Ramius Capital, Paloma, Tiger and Bank of New York.

## 9. TCI Affiliated Investment Managers

### a. Algebris

Algebris, the global long/short financials fund, raised \$500m during Q4 2007. The fund continues to find excellent opportunities in these tough market conditions. The firm was also the recipient of the best Global Specialist Manager at the 2007 EuroHedge Awards held in London in January.

### b. KDA Capital

KDA Capital, the European mid- and large-cap biased long only fund, is currently fully invested.

### c. Parvus

Parvus, the European all cap long-biased fund manager, currently sees significant value in Europe.

For information on TCI and its affiliates please contact Rahul Moodgal at [rahul@tcifund.com](mailto:rahul@tcifund.com) or on +44 20 7440 2384.

Christopher Hohn  
Managing Partner

April 2008

**Appendix 1 – Top Long Positions****Top Long Exposure at Quarter End – Q1 2008 Performance Contribution**

| <b>Long Exposure</b>      | <b>Country</b> | <b>Market Cap (\$bn)</b> | <b>% Contribution to Q1 2008 Gross Performance</b> |
|---------------------------|----------------|--------------------------|----------------------------------------------------|
| US Railways               | United States  | >24                      | +4.5%                                              |
| Deutsche Boerse           | Germany        | 32                       | -7.1%                                              |
| Unnamed Service Companies | United States  | >30                      | +1.6%                                              |
| Link REIT                 | Hong Kong      | 5                        | +0.2%                                              |
| <b>Total</b>              |                |                          | <b>-0.8%</b>                                       |

Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

## Appendix 2 – TCI Fund Performance Since Inception

| Period   | Assets (€m) | Class A (3yr) \$ | Class A (3yr) € | Class B (5yr) \$ | Class B (5yr) € | Class C (5yr) \$ | Class C (5yr) € | MSCI World (\$) |
|----------|-------------|------------------|-----------------|------------------|-----------------|------------------|-----------------|-----------------|
| Jan 2004 | 375         | +1.36%           | +1.44%          | +1.41%           | +1.49%          |                  |                 | +1.54%          |
| Feb 2004 | 532         | +5.08%           | +5.09%          | +5.26%           | +5.27%          |                  |                 | +1.55%          |
| Mar 2004 | 554         | +2.75%           | +2.93%          | +2.78%           | +2.97%          |                  |                 | -0.89%          |
| Q1 2004  |             | +9.44%           | +9.73%          | +9.71%           | +10.01%         |                  |                 | +2.20%          |
| Apr 2004 | 735         | +3.70%           | +3.88%          | +3.77%           | +3.92%          |                  |                 | -2.22%          |
| May 2004 | 872         | +0.40%           | +0.45%          | +0.43%           | +0.47%          |                  |                 | +0.67%          |
| Jun 2004 | 1,081       | +2.82%           | +2.86%          | +2.90%           | +2.93%          |                  |                 | +1.91%          |
| Q2 2004  |             | +7.05%           | +7.33%          | +7.23%           | +7.47%          |                  |                 | +0.32%          |
| Jul 2004 | 1,088       | -0.24%           | -0.20%          | -0.24%           | -0.20%          |                  |                 | -3.34%          |
| Aug 2004 | 1,114       | +0.85%           | +0.94%          | +0.88%           | +0.97%          |                  |                 | +0.26%          |
| Sep 2004 | 1,173       | +4.86%           | +4.90%          | +5.00%           | +5.05%          |                  |                 | +1.77%          |
| Q3 2004  |             | +5.50%           | +5.67%          | +5.67%           | +5.86%          |                  |                 | -1.38%          |
| Oct 2004 | 1,187       | +2.35%           | +2.34%          | +2.41%           | +2.41%          |                  |                 | +2.37%          |
| Nov 2004 | 1,435       | +4.93%           | +5.09%          | +5.31%           | +5.24%          |                  |                 | +5.09%          |
| Dec 2004 | 1,589       | +6.94%           | +6.86%          | +7.13%           | +7.05%          |                  |                 | +3.73%          |
| Q4 2004  |             | +14.85%          | +14.93%         | +15.54%          | +15.37%         |                  |                 | +11.59%         |
| 2004     |             | +41.95%          | +43.04%         | +43.65%          | +44.39%         |                  |                 | +12.84%         |
| Jan 2005 | 1,960       | +6.45%           | +6.51%          | +6.68%           | +6.75%          |                  |                 | -2.31%          |
| Feb 2005 | 2,265       | +3.80%           | +3.83%          | +3.90%           | +3.99%          |                  |                 | +3.01%          |
| Mar 2005 | 2,275       | -1.07%           | -1.04%          | -1.07%           | -1.09%          |                  |                 | -2.17%          |
| Q1 2005  |             | +9.32%           | +9.44%          | +9.65%           | +9.80%          |                  |                 | -1.55%          |
| Apr 2005 | 2,502       | -0.02%           | -0.05%          | -0.02%           | -0.05%          |                  |                 | -2.39%          |
| May 2005 | 2,856       | +3.46%           | +3.46%          | +3.59%           | +3.59%          |                  |                 | +1.52%          |
| Jun 2005 | 3,271       | +6.15%           | +6.15%          | +6.35%           | +6.34%          |                  |                 | +0.71%          |
| Q2 2005  |             | +9.80%           | +9.77%          | +10.14%          | +10.10%         |                  |                 | -0.21%          |
| Jul 2005 | 3,624       | +4.47%           | +4.41%          | +4.61%           | +4.54%          |                  |                 | +3.43%          |
| Aug 2005 | 3,754       | +2.03%           | +1.88%          | +2.08%           | +1.94%          |                  |                 | +0.56%          |
| Sep 2005 | 4,055       | +7.11%           | +7.03%          | +7.31%           | +7.23%          |                  |                 | +2.47%          |
| Q3 2005  |             | +14.17%          | +13.86%         | +14.59%          | +14.27%         |                  |                 | +6.57%          |
| Oct 2005 | 4,050       | -3.68%           | -3.80%          | -3.77%           | -3.90%          |                  |                 | -2.49%          |
| Nov 2005 | 4,605       | +5.06%           | +5.06%          | +5.20%           | +5.19%          |                  |                 | +3.14%          |
| Dec 2005 | 5,421       | +7.92%           | +7.72%          | +8.12%           | +7.91%          |                  |                 | +2.14%          |
| Q4 2005  |             | +9.21%           | +8.86%          | +9.45%           | +9.08%          |                  |                 | +2.73%          |
| 2005     |             | +49.66%          | +48.90%         | +51.48%          | +50.68%         |                  |                 | +7.56%          |
| Jan 2006 | 5,782       | +6.38%           | +6.10%          | +6.61%           | +6.32%          |                  |                 | +4.41%          |
| Feb 2006 | 6,012       | +3.97%           | +4.15%          | +4.12%           | +4.05%          |                  |                 | -0.29%          |
| Mar 2006 | 6,809       | +3.72%           | +3.27%          | +3.84%           | +3.63%          | +3.65%           | +3.44%          | +1.96%          |
| Q1 2006  |             | +14.71%          | +14.11%         | +15.26%          | +14.64%         | +3.65%           | +3.44%          | +6.14%          |
| Apr 2006 | 7,183       | +5.91%           | +5.64%          | +6.10%           | +5.82%          | +5.80%           | +5.54%          | +2.87%          |
| May 2006 | 6,225       | -9.18%           | -9.11%          | -9.64%           | -9.39%          | -9.56%           | -9.57%          | -3.72%          |
| Jun 2006 | 6,767       | +3.38%           | +3.27%          | +3.71%           | +3.39%          | +3.96%           | +3.93%          | -0.18%          |
| Q2 2006  |             | -0.56%           | -0.84%          | -0.57%           | -0.87%          | -0.53%           | -0.81%          | -1.13%          |
| Jul 2006 | 7,495       | +3.75%           | +3.61%          | +3.87%           | +3.72%          | +3.68%           | +3.54%          | +0.55%          |
| Aug 2006 | 7,828       | +3.71%           | +3.50%          | +3.83%           | +3.60%          | +3.37%           | +3.43%          | +2.38%          |
| Sep 2006 | 7,843       | +0.03%           | -0.12%          | +0.03%           | -0.12%          | +0.00%           | -0.12%          | +1.07%          |
| Q3 2006  |             | +7.63%           | +7.11%          | +7.88%           | +7.32%          | +7.17%           | +6.96%          | +4.05%          |
| Oct 2006 | 8,307       | +4.01%           | +3.88%          | +4.13%           | +3.99%          | +3.72%           | +3.29%          | +3.61%          |
| Nov 2006 | 8,615       | +3.04%           | +2.93%          | +3.13%           | +3.01%          | +2.99%           | +2.88%          | +2.27%          |
| Dec 2006 | 8,945       | +5.63%           | +5.53%          | +5.78%           | +5.69%          | +5.54%           | +5.44%          | +1.95%          |
| Q4 2006  |             | +13.21%          | +12.84%         | +13.60%          | +13.22%         | +12.74%          | +12.05%         | +8.02%          |
| 2006     |             | +38.99%          | +36.76%         | +40.45%          | +38.08%         | +24.57%          | +22.97%         | +17.95%         |
| Jan 2007 | 9,460       | +2.05%           | +1.99%          | +2.12%           | +2.05%          | +2.05%           | +1.99%          | +1.12%          |
| Feb 2007 | 9,474       | -1.25%           | -1.27%          | -1.29%           | -1.31%          | -1.25%           | -1.27%          | -0.65%          |
| Mar 2007 | 10,145      | +6.78%           | +6.63%          | +7.02%           | +6.86%          | +6.78%           | +6.63%          | +1.59%          |
| Q1 2007  |             | +7.61%           | +7.37%          | +7.88%           | +7.62%          | +7.61%           | +7.37%          | +2.06%          |
| Apr 2007 | 10,762      | +4.99%           | +4.81%          | +5.17%           | +4.98%          | +4.99%           | +4.81%          | +4.21%          |
| May 2007 | 11,151      | +4.38%           | +4.30%          | +4.52%           | +4.46%          | +4.38%           | +4.30%          | +2.47%          |
| Jun 2007 | 10,971      | -2.34%           | -2.43%          | -2.41%           | -2.51%          | -2.34%           | -2.43%          | -0.90%          |
| Q2 2007  |             | +7.02%           | +6.67%          | +7.27%           | +6.91%          | +7.02%           | +6.67%          | +5.82%          |
| Jul 2007 | 11,056      | +0.98%           | +0.86%          | +1.02%           | +0.89%          | +0.98%           | +0.86%          | -2.28%          |
| Aug 2007 | 10,123      | -5.97%           | -6.14%          | -6.16%           | -6.35%          | -5.97%           | -6.14%          | -0.27%          |
| Sep 2007 | 11,308      | +9.24%           | +8.85%          | +9.56%           | +9.16%          | +9.24%           | +8.85%          | +4.61%          |
| Q3 2007  |             | +3.73%           | +3.04%          | +3.86%           | +3.13%          | +3.73%           | +3.04%          | +1.95%          |

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| <b>Period</b>         | <b>Assets<br/>(€m)</b> | <b>Class A<br/>(3yr) \$</b> | <b>Class A<br/>(3yr) €</b> | <b>Class B<br/>(5yr) \$</b> | <b>Class B<br/>(5yr) €</b> | <b>Class C<br/>(5yr) \$</b> | <b>Class C<br/>(5yr) €</b> | <b>MSCI<br/>World (\$)</b> |
|-----------------------|------------------------|-----------------------------|----------------------------|-----------------------------|----------------------------|-----------------------------|----------------------------|----------------------------|
| Oct 2007              | 12,048                 | +8.13%                      | +8.03%                     | +8.37%                      | +8.31%                     | +8.13%                      | +8.03%                     | +2.99%                     |
| Nov 2007              | 12,263                 | +3.62%                      | +3.55%                     | +3.72%                      | +3.67%                     | +3.62%                      | +3.55%                     | -4.24%                     |
| Dec 2007              | 12,643                 | +2.79%                      | +2.76%                     | +2.86%                      | +2.86%                     | +2.79%                      | +2.76%                     | -1.37%                     |
| Q4 2007               |                        | +15.17%                     | +14.95%                    | +15.62%                     | +15.50%                    | +15.17%                     | +14.95%                    | -2.74%                     |
| 2007                  |                        | +37.59%                     | +35.66%                    | +38.97%                     | +37.04%                    | +37.59%                     | +35.66%                    | +7.09%                     |
| Jan 2008              | 11,239                 | -6.24%                      | -6.38%                     | -6.24%                      | -6.60%                     | -6.24%                      | -6.38%                     | -7.71%                     |
| Feb 2008              | 10,714                 | -2.70%                      | -2.56%                     | -2.70%                      | -2.65%                     | -2.70%                      | -2.56%                     | -0.74%                     |
| Mar 2008              | 10,187                 | -1.05%                      | -0.83%                     | -1.05%                      | -0.86%                     | -1.05%                      | -0.83%                     | -1.25%                     |
| Q1 2008               |                        | -9.73%                      | -9.54%                     | -9.73%                      | -9.86%                     | -9.73%                      | -9.54%                     | -9.53%                     |
| Annualised            |                        | +35.76%                     | +34.94%                    | +37.19%                     | +36.15%                    | n/a                         | n/a                        | +8.00%                     |
| Inception<br>Jan 2004 |                        | +266.72%                    | +257.40%                   | +283.37%                    | +271.21%                   | n/a                         | n/a                        | +38.70%                    |

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception.

Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI Barra, The Children's Investment (TCI) Fund Management (UK) LLP.